

What.Exchange vs. DecibelTrade: Comparative Analysis for DeFi Power Users

Disclaimer: The requester is a partner of What.Exchange. However, this report provides an unbiased, analytical comparison of **What.Exchange** and **DecibelTrade**. It is tailored for sophisticated DeFi users seeking a detailed understanding of each project's strengths, design, and risks.

1. Project Overview and Philosophy

- **What.Exchange:** Launched in 2025, What.Exchange is a decentralized perpetual futures exchange with a mission to embody crypto's original ethos of transparency, community ownership, and self-custody ¹. It was founded by a veteran trader known as "Wolf" (formerly @WolfOfPoloniex) who was frustrated by how centralized exchanges (CEXs) and VCs "farm" users for profit ². In response, What.Exchange set out to create a **community-driven platform** where >90% of exchange revenue is returned to users (via continuous token buybacks) and control eventually shifts to a DAO ³. The project emphasizes a "CeDeFi" hybrid model: deliver a CEX-like trading experience with DeFi principles (non-custodial wallets, on-chain transparency) ⁴. Notably, What.Exchange is **self-funded with no VC backers**, a point the team touts as allowing them to stay true to users rather than investors ⁵. The platform went live in mid-2025 (initially in a "point farming" beta) and saw rapid early growth in usage ⁶. Wolf's credibility (a long-time trader and early crypto adopter) and the project's uncompromising ethos ("Built by Traders, Owned by Degens" as their slogan proclaims) have helped build a loyal community base ⁷ ⁸.
- **DecibelTrade:** DecibelTrade (often called *Decibel*) is a next-generation trading platform being built on the Aptos blockchain. Its core vision is to be a "**fully on-chain trading engine**" that unifies spot markets, perpetual futures, margin trading, and even yield strategies in one protocol ⁹. The philosophy is to deliver CEX-level performance – ultra-fast execution and deep liquidity – while **preserving DeFi principles like self-custody and transparency** ¹⁰. In other words, Decibel aims to marry the speed and user experience of traditional exchanges with the trustlessness and composability of DeFi. The project launched an invite-only devnet in August 2025 and a public testnet in late 2025, with a mainnet target of Q1 2026 ¹¹. Uniquely, Decibel is strongly backed by **Aptos Labs** (the team behind the Aptos layer-1); in fact, Aptos Labs co-developed Decibel's architecture and views it as the "execution layer" of Aptos's DeFi stack ¹². This deep collaboration (beyond simple incubation) signals that Decibel is a flagship effort for the Aptos ecosystem ¹³. Aptos's founders have publicly endorsed Decibel as a critical step toward their "Global Trading Engine" vision of 24/7 borderless markets ¹⁴ ¹⁵. In summary, Decibel's ethos is about pushing the limits of on-chain trading performance, leveraging first-class support from its home blockchain's developers, and demonstrating that a fully on-chain exchange can compete with centralized platforms.

2. Architecture and Technology

- **What.Exchange:** The platform's architecture is a hybrid that leverages existing decentralized exchange infrastructure for performance and cross-chain reach. **Under the hood,**

What.Exchange is built on Orderly Network's orderbook-based DEX engine and uses LayerZero omnichain technology to operate across multiple blockchains ¹⁶. In practice, this means users on various chains (Ethereum, BNB Chain, Polygon, Arbitrum, Solana, etc.) can all trade against a unified central limit order book (CLOB) and shared liquidity pool, with LayerZero relaying messages between chains ¹⁷. This design "defragments" liquidity across chains – traders on different networks see the same order book and prices. The Orderly engine itself runs off-chain (hosted originally on NEAR) for matching, while trade settlement and custody occur on-chain on each connected network ¹⁸. This yields a high-performance, low-latency trading experience: the team reports sub-100ms order execution in the UI thanks to the off-chain matching and optimized networking ¹⁹. At the same time, final trade outcomes (fills, PnL, margin updates) are recorded on-chain for transparency and security ¹⁸. What.Exchange's **scalability** benefits from Orderly's robust backend (incubated by NEAR and built for exchange-level throughput) and the ability to distribute load across multiple chains (users transact on their chain of choice, avoiding a single-chain bottleneck) ²⁰ ²¹. The architecture supports **cross-chain deposits**: a user can deposit assets on one of ~15 supported chains (by late 2025 the platform had deployed smart contracts on 15+ networks via LayerZero) and have those assets available for trading in the unified order book ²². This is achieved through cross-chain message passing and lock-mint mechanisms (LayerZero ensures that, for example, USDC deposited on Ethereum can be represented and used within Orderly's NEAR-based orderbook, and vice versa on withdrawal). **Multi-collateral** support is available – users can post various tokens as margin on different chains, which are bridged into the system (e.g. one could use USDC on Ethereum or BNB on BSC as collateral, depending on entry chain) ²³. By integrating rather than reinventing technology, What.Exchange's stack is relatively mature: Orderly Network and LayerZero are audited, battle-tested components ²⁴ ²⁵. The trade-off is a *semi-decentralized* architecture: matching relies on a set of off-chain servers run by Orderly, and cross-chain operations rely on LayerZero's validators. However, these choices massively improve performance and connectivity. In short, What.Exchange opts for a pragmatic CeDeFi design – an off-chain CLOB for speed, anchored by on-chain custody/settlement and omnichain interoperability.

- **DecibelTrade**: Decibel's architecture is far more radical – it is engineered to run **entirely on-chain on Aptos**, pushing the limits of what on-chain tech can do. At its core is a fully on-chain Central Limit Order Book: **every order, cancelation, trade match, and liquidation is executed by smart contracts on Aptos (written in Move), rather than by any off-chain engine** ²⁶. This design eliminates the "trust gap" of off-chain matching; all order data and matching logic are transparent on the blockchain, preventing hidden trades or manipulation in the matching process ²⁷. Achieving high throughput in this setup is non-trivial. Decibel is **tightly integrated with Aptos's Block-STM parallel execution engine**, which allows Aptos to process many transactions simultaneously ²⁸. With Aptos's current performance (~600ms average block finality and very low fees), Decibel has demonstrated sub-second trade settlements in test environments ²⁹. The developers even observed ~100ms block times on a devnet with optimizations in mid-2025 ³⁰. The roadmap goes further: the team is co-designing a specialized "trading VM" atop Move and working with upcoming Aptos upgrades ("Raptr" and "Zaptos") to **target an astonishing 20ms block time and up to 1,000,000 orders per second throughput** in the long term ³¹ ³². Such performance would rival top centralized exchanges and even traditional stock exchanges – essentially breaking the notion that on-chain trading must be slower ³². Of course, this raises questions about **scalability and decentralization trade-offs**: reaching those speeds may require very high-performance validator hardware and perhaps reducing some redundancy in consensus, which could concentrate the network to only a few powerful validators ³³. The team is aware of this classic performance-vs-decentralization tension ³³. Beyond the orderbook, Decibel's design includes **cross-margin accounts**: each user has a single on-chain margin account that can hold multiple assets (APT, USDC, BTC, ETH, SOL,

etc.) as collateral for all trading, rather than splitting collateral per market ³⁴. A global on-chain risk engine (built with input from Gauntlet Networks) continuously values these positions and enforces risk limits in real time ³⁵ ³⁶. This unified account model maximizes capital efficiency for traders but demands robust risk management (discussed later). Another notable innovation is Decibel's **"gas-less" trading experience** – on testnet, users do not pay gas fees for each order; Decibel uses meta-transactions or a relay to cover gas, making trading feel as seamless as a CEX (users just sign orders) ³⁷. It's expected the Decibel Foundation will subsidize gas on mainnet (possibly recouping costs via trading fees), so that traders aren't slowed down by transaction fee management ³⁸. In summary, Decibel's architecture is an ambitious all-in-one on Aptos: it sacrifices the multi-chain reach of What.Exchange in favor of pushing a single chain to its technological limits. The approach promises superb latency and performance if Aptos can scale accordingly, at the cost of significantly higher complexity in the smart contracts and a reliance on Aptos's future upgrades to hit promised throughput. It's a moonshot design aiming to prove that a *fully* on-chain orderbook exchange can match the speed of off-chain systems ³⁹ ⁴⁰.

3. Trading Experience

- **What.Exchange:** The user experience on What.Exchange is designed to closely mimic a professional centralized exchange, within a DeFi context. Traders connect a Web3 wallet (no account signup or KYC required) and can immediately trade with up to **50× leverage** on a wide range of crypto perpetual futures ⁴¹. The UI features a familiar layout: order book, recent trades, TradingView-powered price charts, and order entry forms for limit and market orders ¹⁹. The interface is polished for speed – it offers **<100ms latency** on order placement feedback, thanks to the underlying Orderly engine's quick execution and the co-location of matching servers ¹⁹. In practice, users report that placing or canceling orders feels nearly instantaneous, comparable to using a CEX platform, with the added step that transactions need to be signed. Because trade settlement happens on-chain (on NEAR or the relevant connected chain), users do pay network fees, but these are generally small (e.g. NEAR or Arbitrum fees) and the platform abstracts much of the complexity by handling cross-chain transfers via LayerZero behind the scenes. **Order types** supported include the basics one would expect: limit and market orders (with plans to introduce stop-loss and take-profit orders as the platform matures, leveraging Orderly's capabilities). Being built on Orderly means What.Exchange shares liquidity with other front-ends, but it also inherits features those back-end contracts support – for example, if Orderly's protocol supports advanced order types or conditional orders, What.Exchange can expose them in the UI. As of late 2025, the focus has been on core functionality (standard perp trading features), and the platform touts "no-frills" high performance rather than exotic order types. **Latency and throughput** on What.Exchange have so far been excellent: since much of the heavy lifting is off-chain, the UI updates and trade confirmations are fast even under volatility. The platform hasn't reported meaningful downtime aside from occasional maintenance, and because multiple chains are supported, users can choose a network with low congestion to execute their trades. In terms of **liquidity and markets**, What.Exchange had, by the end of 2025, listed a *large number of trading pairs* – not only major assets like BTC, ETH, SOL, etc., but also trending or niche assets. In fact, the team has been aggressive in adding markets to capture interest; for example, if a meme coin or a competitor's token is hot, they'll list a perp for it so traders can long/short it, even if major exchanges haven't listed it ⁴². This breadth of markets (enabled by tapping into Orderly's unified liquidity) gives power users plenty of opportunities: **dozens of perp pairs** spanning large caps, altcoins, and novel assets. Liquidity depth on What.Exchange is essentially the liquidity of the Orderly Network – since all Orderly-connected exchanges share the same order book, a trader on What.Exchange sees deep combined liquidity provided by all makers and takers across Orderly's ecosystem ⁴³. For

context, Orderly Network is backed by market makers associated with WOO Network, so order book spreads for top assets tend to be tight. Smaller/newly listed assets can have thinner order books initially, but any liquidity provider on Orderly (including those market-making on WOOFi or other frontends) is also furnishing liquidity to What.Exchange's users. **Overall UX:** Traders benefit from a CEX-quality interface (TradingView charts, fast updates) with the security of self-custody. The need to sign transactions for each order can introduce minor friction (compared to a custodial exchange where orders don't require on-chain signatures), but tools like WalletConnect and browser wallets make it relatively seamless. Advanced users can also use What.Exchange via API or programmatically by interfacing with Orderly's API, enabling algorithmic trading. Finally, What.Exchange has been expanding usability features: mobile-friendly views, an educational content section (planned), and even hints at integrating fiat on-ramps and a debit card for easy funding in the future ⁴⁴ ⁴⁵. These additions aim to broaden the platform's appeal without sacrificing its crypto-native, non-custodial nature.

- **DecibelTrade:** Decibel's trading experience is likewise aiming to feel like a top-tier centralized exchange, albeit within a purely on-chain environment. Users will trade via a web interface or API that connects directly to the Aptos blockchain. **Order types** are more extensive out of the gate – Decibel supports not just market and limit orders, but also stop-loss (stop-market and stop-limit) orders and even TWAP (time-weighted average price) algorithmic orders ⁴⁶. This suite of order types is uncommon among DeFi platforms and mirrors what professional traders expect on CEXs. The on-chain implementation of these is handled by Decibel's smart contracts (for example, stop orders are essentially instructions that trigger when oracle price conditions are met). Thanks to the Move language's flexibility, Decibel's developers have been able to bake in these advanced order logics on-chain. **User interface and latency:** During testnet, early users noted that the UI was smooth and **trade executions were fast**, with transactions finalizing roughly within a second – an outcome of Aptos's ~0.5–1 second block times ⁴⁷. The project advertises a "CEX-like" feel, meaning users can place orders and see them execute nearly instantly in the interface. One distinctive feature is **gasless trading**: traders on Decibel do *not* need to manually pay gas for each transaction. Instead, Decibel uses a meta-transaction relay system where the backend (the Decibel Foundation or its partners) covers the gas fees, allowing users to focus on trading without managing gas tokens ³⁷. This approach is similar to how some layer-2 exchanges (like dYdX on StarkEx) hide gas fees from the end-user. It greatly improves UX, though it represents a cost for the platform (likely funded by a portion of trading fees). **Interface features:** The Decibel web interface (as seen in testnet) includes real-time order book updates, charts, and positions, all updating as on-chain events occur. Because everything is on Aptos, the platform can query the blockchain directly for state – giving users transparent views of open orders and positions that are literally on-chain. To prevent front-running and ensure fairness, Decibel implemented an **encrypted mempool**: user transactions (orders) are submitted encrypted and only revealed right before execution, so bots cannot see and preempt them ⁴⁸ ⁴⁹. This is a backend feature, but it manifests as an **MEV-resistant** user experience – traders are less likely to encounter sandwich attacks or front-run slippage. From a trader's perspective, this just means you get the price you expect more often, a significant UX advantage for large orders. **Liquidity and slippage:** At launch, Decibel will use a **hybrid liquidity model**: a on-chain **Decentralized Liquidity Pool (DLP)** vault acts as a base counterparty for trades, and professional market makers are being onboarded to populate the order book. The DLP is essentially a pool of funds (initially seeded with test tokens on testnet; will be real assets on mainnet) that always **quotes two-sided markets** for every listed asset ⁵⁰. In testnet, this meant even with few external participants, there were always some bids/asks. The DLP issues a token (like an LP token) to depositors, and that token can itself be used as trading collateral ⁵⁰ – effectively intertwining liquidity provision with trading balances. On mainnet, the DLP will likely be bootstrapped by the team or partners, and its parameters (spreads, depth) will be tuned (with

Gauntlet's help) to ensure it offers tight enough liquidity while remaining profitable for liquidity providers ⁵¹. Additionally, Decibel has been courting **market makers such as Jump Crypto** to participate on the exchange ⁵². With both a guaranteed baseline liquidity (the DLP) and external market makers, Decibel aims to offer deep order books from day one. Early indications from testnet suggest that, under light load, the platform achieved low slippage on small-to-medium trades, but real depth will only be known once mainnet makers step in ⁵² ⁵³. **Supported assets:** Initially, Decibel is likely to list major crypto assets and Aptos ecosystem tokens for spot and perps. Collateral support (APT, USDC, BTC, ETH, SOL, etc. are mentioned) implies those assets will be tradeable or at least usable for margin ³⁴. The team has also hinted at offering **tokenized real-world assets (RWAs)** – e.g. trading synthetic stocks or commodities 24/7 via Chainlink oracles ⁵⁴. While no such markets were live on testnet, the architecture (integration with Chainlink's low-latency data feeds) would allow this in the future ⁵⁵. If Decibel indeed lists RWA-based perps, it could differentiate itself by offering exposure to non-crypto markets on-chain, though this could raise regulatory questions (more on that later) ⁵⁶. Overall, Decibel's trading experience is cutting-edge for DeFi: it offers the kind of advanced features (order types, gasless txns, MEV protection) that power users appreciate, with the feel of a centralized platform. The main uncertainty will be how this experience holds up under heavy real-money usage – e.g., will sub-second execution persist when many users are hitting the chain simultaneously, and will the UI remain snappy if Aptos network gets congested? These are open questions that only the mainnet launch will answer, but the testnet results have been encouraging (no noticeable lag with modest usage, and a UI that remained responsive) ⁴⁷ ⁵⁷.

4. Tokenomics and Incentives

- **What.Exchange:** The project's native token **\$WHAT** has not yet launched (as of Dec 2025), but its planned tokenomics are highly **community-centric**. Rather than a typical VC-heavy token distribution, What.Exchange allocated a large portion of the future supply to its users: **30% of total \$WHAT supply is reserved for a community airdrop ("retrodrop")** to reward early adopters once the token TGE occurs ⁵⁸. Indeed, since launch, users have been "point farming" – earning points by trading on the platform – which will convert into \$WHAT tokens when the airdrop is issued ⁵⁹ ⁶⁰. This mirrors the playbook of projects like dYdX or HyperLiquid, where early usage is later rewarded retroactively. \$WHAT is envisioned as **the core of the entire ecosystem**, not just a fee-discount token ⁶¹. Its expected utilities include governance rights (eventually controlling the DAO that will manage the exchange), a share in platform revenue, and possibly tiered benefits for holders ⁶² ⁶³. The team explicitly commits that **90%+ of exchange revenue will be used to continually buy back \$WHAT on the market** ⁶⁴ ⁶⁵. This effectively returns value to token holders (either by deflating supply or by redistributing bought-back tokens via staking rewards). The model is **deflationary and user-aligned**, much like HyperLiquid's HYPE token approach ⁶⁶. Notably, What.Exchange has **no VC investors and thus no private token sale** – the founder emphasizes they "owe nothing to anyone" except the community ⁶⁷. This means the token launch, when it happens (expected in 2026), should not suffer from immediate sell-pressure by early investors. The exact total supply and full allocation breakdown haven't been published yet, but aside from the 30% community portion, one can expect allocations for the team, treasury, and possibly liquidity incentives. Given the ethos, these are likely structured to avoid "VC overhang" – e.g., the team may vest tokens over long periods and no outside parties hold large pre-sale stakes. In the interim, **incentives** to bootstrap growth have included the point-based airdrop program (which successfully drove traders to the platform) and a **referral/affiliate program** launched in late 2025 ⁶⁸. The affiliate program offers commissions to users who bring volume to the exchange, rewarding community members for growth and effectively decentralizing marketing. What.Exchange also runs trading competitions and maintains leaderboards, with top traders (by volume or PnL) likely in line for

extra rewards or recognition ⁶⁹. These incentive structures have so far created a loyal early user base without the need for mercenary liquidity mining. From a tokenomics perspective, analysts view What.Exchange's approach as **highly user-aligned**, with a large free distribution and ongoing buybacks ensuring that active users and token holders benefit from the platform's success ⁷⁰. The main risk is that specifics (total supply, emission schedule, governance details) are not fully disclosed yet – the community will be expecting a detailed tokenomics paper at launch to verify that the promises (90% revenue buybacks, etc.) are codified and that there are no surprises in allocation ⁷⁰ ⁷¹. Assuming the team delivers what's signaled, \$WHAT could become a governance token that genuinely accrues value from the exchange's usage, aligning all participants under the "trade mining and buyback" model popularized by predecessors like GMX and HyperLiquid.

- **DecibelTrade:** As of early 2026, **Decibel has no tradable token yet**, but one is anticipated to launch alongside or shortly after the mainnet release ⁷². In the absence of a token, the team implemented alternative incentives to encourage early participation. The first is a **points program** on testnet: users earn points for trading, providing feedback, and other activities, which the team has indicated will be redeemable or factored into the token distribution once the token goes live ⁷³. In essence, they are doing a *retroactive airdrop* model as well – encouraging "earn now, redeem later" behavior similar to many DeFi projects historically ⁷⁴. There's also a **referral program** in the works (users can refer others and earn credits/points) ⁷⁵, further seeding network effects. These incentive strategies led to a flurry of so-called "airdrop farmers" on testnet (users actively trading just to maximize points), which succeeded in stress-testing the platform and spreading word-of-mouth, albeit with the side effect of some non-organic usage ⁷⁶ ⁷⁷. When the \$DECIBEL (token name TBA) launches, several aspects will be crucial. The **initial distribution and unlock schedule** will determine how decentralized the project truly is ⁷⁸. Given Aptos Labs' heavy involvement, the community will watch for what share of tokens (if any) go to Aptos Labs, the core team, and future investors, versus what share is allocated to the community and liquidity programs ⁷⁹. A highly skewed allocation to insiders could undermine the "decentralized exchange" narrative, whereas a large community allocation (plus transparent lock-ups for any team/foundation tokens) would engender trust. The Decibel team has repeatedly advised to "monitor official communications" for token details ⁸⁰, indicating they plan to be transparent when the time comes. Another positive sign is that Decibel's contracts are open-source, and one can expect its token and governance contracts will be open-sourced too, which allows the community to scrutinize the mechanics ⁸⁰. **Token utility** isn't fully defined yet, but by analogy to similar platforms, it will likely include governance rights (voting on protocol parameters, listing decisions, etc.), possibly a share of trading fee revenue (if fees are introduced beyond the current subsidized model), and staking or liquidity provision incentives. Since Decibel aims to hand over governance eventually, \$DECIBEL would be the vehicle for DAO control. Additionally, holding the token might confer trading benefits (fee discounts or higher referral payouts, for example). **Investor considerations:** Decibel's development has been primarily funded by Aptos Labs and possibly foundation grants ⁸¹. There was *no public token sale or known private sale* as of testnet, which means there isn't a tranche of investors waiting to dump at launch ⁸¹. This is similar to What.Exchange's no-VC approach in effect, though in Decibel's case Aptos Labs itself can be considered a strategic investor (contributing engineering and capital). The alignment here is interesting: if Decibel drives usage of Aptos (and thus demand for APT for gas or staking), it indirectly benefits Aptos's original backers ⁸². So Aptos Labs' "investment" in Decibel is partly to increase Aptos chain value. We can infer that the token, when launched, may allocate some portion to an **ecosystem fund or treasury** to support ongoing development and market-making (especially given the complex tech, they may need incentives for DLP providers or market makers). Early users fully expect a generous airdrop; if that expectation were not met, there could be backlash ⁸³ ⁷⁹. The team must balance rewarding

testnet users with establishing a healthy token distribution. In summary, **Decibel's incentives so far have been promise-based** (points and referrals on the expectation of a token). This has effectively bootstrapped a community, but it also means the project's launch is riding on trust that the eventual token drop will be worthwhile. Assuming a token does launch in 2026, watch for announcements on how governance will be structured (e.g. will there be a Decibel DAO from day one?) and how the token integrates with Aptos's existing ecosystem (for instance, will it be used for fee discounts or require staking of APT as well?). The lack of venture overhang and the support of a major Layer-1 give Decibel a good runway to distribute tokens primarily to its users and supporters, much like What.Exchange's user-focused model – but the exact details remain to be seen.

5. Security and Risk Management

• **What.Exchange:** The platform takes a non-custodial approach to security: users hold funds in their own wallets and smart contracts escrow assets only during trading (e.g. when margin is posted), meaning there is no large centralized honeypot to hack ⁸⁴. By building on **audited, battle-tested components** like Orderly Network and LayerZero, What.Exchange inherits a strong security foundation ²⁴ ²⁵. Orderly's matching engine and smart contracts were audited (Orderly was incubated by NEAR and WOO Network, who subjected it to security reviews) ⁸⁵, and LayerZero's cross-chain protocol has a solid security track record as well (with multiple audits and real-world usage securing cross-chain messaging) ⁸⁶ ⁸⁷. Thus, the critical infrastructure for trading and bridging is not bespoke to What.Exchange, reducing the risk of novel vulnerabilities. **Smart contract risk:** What.Exchange's own contracts – for example, those that handle bridging user funds from various chains into Orderly's pools, or the eventual \$WHAT token contract – are relatively minimal and likely derived from Orderly's standard templates ⁸⁸. The team has not announced a dedicated audit of these specific contracts yet; it's presumed that they rely on Orderly's audits or have audits in progress ⁸⁹. It would be prudent for them to get third-party audits especially for the \$WHAT token and any DAO governance contracts when those launch ⁹⁰. As a partner or power user, one might inquire about admin key controls on these contracts – e.g., are upgrades controlled by a multi-sig, is there a timelock for contract changes – to evaluate any centralization risk ⁹¹ ⁹⁰. **Exchange security and risk management:** Because What.Exchange uses an off-chain orderbook and on-chain settlement, one risk vector is the Orderly engine itself – if Orderly's servers were compromised or misbehaved, it could, for instance, falsify order matching. However, trades ultimately settle on-chain (on NEAR or other execution chains), so there is an on-chain record to reconcile. Additionally, multiple frontends (WooFi, QuickPerps, etc.) use Orderly, so any issue with Orderly would be quickly noticed network-wide ⁹² ⁹³. On the positive side, **Orderly's design means fewer on-chain transactions per trade**, which actually reduces on-chain attack surface (there are fewer contracts to exploit during trade execution) ⁹⁴. What.Exchange implements standard **derivatives exchange risk mitigations:** an **Insurance Fund** and **Auto-Deleveraging (ADL)** system. The Insurance Fund accumulates a portion of liquidation fees and covers any negative balances left when bankrupt traders can't cover their losses ⁹⁵. If a violent market move exhausts the insurance fund, an ADL mechanism will automatically deleverage the most profitable opposing traders' positions to prevent the exchange from becoming insolvent ⁹⁶. These are the same mechanisms used by major exchanges like BitMEX and Binance Futures, indicating the team's awareness of industry best practices for risk management ⁹⁶. The platform's documentation confirms the insurance fund and ADL are in place to **protect traders from counterparty default** and socialize losses only as a last resort ⁹⁵ ⁹⁶. **Security track record:** So far, What.Exchange has had no known security incidents. No smart contract hacks or user fund losses have been reported since launch ⁹⁷. One contributing factor could be that much logic is off-chain, limiting the scope of attack via smart contracts ⁹⁴. Still, users face the

usual DeFi risks outside the exchange's direct control: if **LayerZero's bridge were exploited** or **Orderly's off-chain network were attacked**, funds or trading could be impacted ⁹⁴. These are considered low-probability events given those protocols' reputations, but not impossible. The team has not announced a bug bounty program yet, but adopting one (e.g. via Immunefi) would be a good next step to incentivize white-hat reviews ⁹⁸. In summary, What.Exchange's security benefits from leveraging well-established infrastructure and incorporating insurance/ADL safeguards. The main risks lie in its dependencies: trust in Orderly's and LayerZero's security. Operationally, the team's reputation is on the line to respond quickly if any exploit or issue arises on those fronts. So far, their record is clean, which is crucial for maintaining user confidence ⁹⁹.

- **DecibelTrade:** Decibel's fully on-chain, cutting-edge approach brings a larger **attack surface** and accordingly a need for rigorous risk management. The smart contract codebase is extensive – handling order matching, margining, liquidations, a liquidity pool, etc. – all written in Move on a relatively new chain (Aptos launched in late 2022). Any vulnerability in these complex contracts could be catastrophic (e.g. an accounting bug could allow fund siphoning or a manipulation of the orderbook) ¹⁰⁰. As of the latest updates, the team **has not publicized audit reports**, though one assumes audits are underway. Given the novelty, a **guarded launch** strategy is likely (e.g. initial mainnet limits on max leverage or deposits) and extensive auditing plus perhaps formal verification would be wise ¹⁰⁰ ¹⁰¹. Encouragingly, the team has engaged well-known experts: **Gauntlet Network** has been involved in modeling Decibel's risk parameters ⁵¹, and Chainlink Labs has worked on the oracle side ¹⁰². These partnerships suggest a focus on correctness and security. **On-chain risk engine:** Decibel's risk management is handled by transparent on-chain logic. Every user's cross-collateral account is subject to real-time margin requirements and if a position's losses exceed collateral, the system triggers an **automatic liquidation** of that position on-chain ¹⁰³. Liquidation bots (or the protocol itself) will close the position to protect the DLP pool. In testnet, these liquidations were executed as intended, and the system also has **circuit breakers**: for example, during extreme volatility, the team can put markets into **reduce-only mode or halt trading** to prevent total collapse ¹⁰⁴. These emergency controls add a centralized element (the protocol admins can intervene), but are common in early-stage exchanges as a backstop. **MEV and front-running:** A notable security (and fairness) feature is the **Encrypted Mempool**. Decibel transactions are submitted encrypted and only decrypted at execution time, meaning no external actor (bots or even validators) can see pending orders to exploit them ⁴⁸ ⁴⁹. This should greatly reduce MEV attacks like front-running and sandwiching, which plague Ethereum-based DEXs. The risk is whether this encryption holds up under real conditions – it uses threshold encryption or commit-reveal schemes, which need to be implemented correctly and could add slight latency ¹⁰⁵. But if successful, this is a security win, preserving fair ordering of trades. **Bridging and custody risks:** Although Decibel is Aptos-native, it needs to bring in liquidity (assets) from other chains for traders to use (e.g. USDC from Ethereum). This will rely on cross-chain bridges. The team has mentioned using Aptos's "X-chain accounts" feature for one-click onboarding from other chains ¹⁰⁶, which presumably integrates a bridge (likely Wormhole or LayerZero under the hood). Thus, a **bridge security assumption** is present – any flaw in the bridge or its signer network could jeopardize assets moved into Aptos ¹⁰⁷ ¹⁰⁸. Historically, cross-chain bridges have been prime targets for exploits, so Decibel's security is only as strong as the bridge it relies on. Aptos Labs is likely to ensure only reputable bridges are used (they have worked with Wormhole before, and LayerZero is another candidate) ¹⁰⁹. They might even insure or cover incidents given the high-profile nature of this project ¹¹⁰. Still, users should be cognizant that using non-native assets on Aptos carries that external risk. **Oracles:** Price oracles (particularly for stop orders and liquidations) are sourced from **Chainlink's new low-latency Data Streams** for Aptos ¹¹¹. Chainlink is a trusted oracle provider, but any oracle lag or failure could cause improper liquidations or inability to trigger stops. The reliance on Chainlink means Decibel inherits trust in Chainlink's security and uptime ¹¹². If Chainlink's feed were attacked or

censored (especially for any real-world assets being fed in), trading could be disrupted ¹¹³ .

Performance vs security: There's an implicit risk in how far Decibel pushes Aptos's performance. If the network is pushed to its limits (say, hundreds of thousands of TPS), unknown failure modes could appear – nodes desynchronizing, or new attack vectors (like spamming the network to slow it down). The team's pursuit of a specialized "trading VM" and ultra-high throughput will require continuous security review, as any bug in those low-level optimizations could have chain-wide effects ¹¹⁴ ¹¹⁵ . The **human element** is also critical: currently, *admin keys and governance controls* lie with the team/foundation. In testnet and likely at mainnet launch, the team can upgrade contracts, adjust risk parameters, or pause markets via admin privileges ¹¹⁶ ¹¹⁷ . This is a double-edged sword: on one hand it allows quick response to emergencies (e.g. a vulnerability or runaway market event), on the other it means the protocol is not fully trustless initially. The team has indicated they plan to transition these controls to a DAO or at least implement time-locks/multisigs to decentralize governance over time ¹¹⁸ ¹¹⁹ . Until then, users must trust that the admins will act in the interest of the community and not abuse these powers (and also trust that those keys are secure from compromise). **Complexity risk:** With so many interconnected pieces – on-chain matching, a global liquidity vault, advanced order types, bridging, oracle feeds, etc. – the surface for something to go wrong is broad. The First Defense audit analysis flags that while no glaring issues are known yet, the sheer novelty means there could be "hidden pitfalls" that only emerge under stress ¹²⁰ . Past incidents like the Mango Markets exploit on Solana (due to an unforeseen oracle manipulation) are a cautionary tale ¹²¹ . Decibel is attempting a first-of-its-kind feat, so **audits, formal verification, and bug bounties are absolutely essential**. We haven't seen an announced bug bounty program yet, but given the stakes, it would be expected around launch. In summary, Decibel's security rests on **multiple layers of trust** – trust in Aptos's base layer reliability, trust in the soundness of very complex Move contracts, trust in Chainlink oracles and the bridging solution, and trust in the team's oversight ¹¹² . The presence of reputable collaborators (Aptos Labs, Gauntlet, Chainlink) provides confidence that experts are vetting these pieces ¹²² . However, until mainnet operates for some time (and perhaps until control is decentralized), there remains a degree of *experimental risk*. The team's approach (testnet, incremental feature rollout, engaging the community for feedback) shows they are taking security seriously in practice ¹²³ ⁵⁷ . Power users should approach Decibel's mainnet prudently, perhaps with limited capital initially, as the protocol hardens through real-world trials. If it succeeds without incident, it could set a new standard for on-chain exchange security; if a major exploit occurs, it would underscore the challenges of such bleeding-edge design ¹²⁴ ¹²⁵ .

6. Community and Reputation

- **What.Exchange:** From the outset, What.Exchange has cultivated a grassroots, trader-centric community. The project's public face, **Wolf**, is a well-known figure in crypto trading circles with a following dating back to the early 2010s ⁷ . His reputation as a "degenerate but honest" trader (he even launched a personal token \$WOLF that he transparently managed) lends credibility – early adopters trust that a seasoned trader wouldn't sabotage a platform built for traders ¹²⁶ . The community rallies around the idea that the **users are also the owners**: the slogan "Built by Traders, Owned by Degens" is emblazoned on the site and merch, reinforcing the vibe that What.Exchange is *by and for* the crypto community, not Wall Street ⁸ . This ethos has resonated strongly with DeFi natives who were disillusioned with opaque, fee-extractive exchanges. Engagement is strong on social channels; the team (mostly pseudonymous besides Wolf) shares regular updates on Twitter and Discord, often highlighting user achievements (like top traders on the leaderboard) and incorporating user feedback quickly. For example, when early users suggested UI improvements and new asset listings, the team iterated rapidly, leading to a feeling that the community is actively shaping the product ¹²⁷ ¹²⁸ . Transparency has been

another hallmark: Wolf frequently calls out bad practices of centralized entities on Twitter and contrasts them with What.Exchange's approach, which has earned respect among DeFi proponents who value candor ¹²⁹. **Reputation:** So far, What.Exchange's reputation is positive and relatively clean. There have been **no security incidents or scandals** associated with the platform or team ¹³⁰. The founder's prior investments (like in Orderly and WOO) are seen as aligning interests rather than conflicts – e.g. his seed investment in Orderly is public, which actually gives users comfort that he's deeply invested in the tech the exchange relies on ¹³¹. One area of note is that the team beyond Wolf remains pseudonymous and mostly unknown. In DeFi this is common, but it means trust is placed heavily on Wolf's persona and the performance of the platform, rather than a long multi-person track record. The community seems comfortable with this, given Wolf's active engagement and the product's delivery so far. **User base:** Early on, the platform attracted a mix of retail degens (drawn by the airdrop farming and high leverage) and more serious traders (attracted by the deep liquidity via Orderly). Metrics like the positive net capital flow in Q4 2025 (more deposits coming in than out) indicate that users were sticking around and adding funds, not just farming and withdrawing ¹³². What.Exchange also developed an ambassador program for different regions, which has grown communities in various languages (notably some presence in Russian and Chinese trading communities, likely due to Wolf's global follower base). The weekly trading competitions and the public **leaderboard of top traders** foster friendly rivalry and transparency – one can see real volumes and PnLs posted, which boosts confidence that volume figures aren't wash-traded or fake ⁶⁹. Overall, the **tone** in DeFi circles about What.Exchange has been that it's a refreshingly user-aligned project. Even though it's smaller than giants like dYdX or GMX at the moment, it's often mentioned alongside them as a credible up-and-comer, thanks to its rapid development and outspoken philosophy. There is an underdog appeal in how What.Exchange is positioning against VC-backed exchanges; this narrative has garnered it a dedicated following of "degens" who take pride in using and promoting it as a community-owned alternative.

- **DecibelTrade:** Decibel entered the scene with a lot of **hype and high expectations**, particularly within the Aptos community. Being championed by Aptos Labs, it immediately had the backing of a major Layer-1's ecosystem – this lent credibility (the involvement of professional engineers, funding, etc.) but also put pressure on Decibel to perform as a *flagship* project. **Community sentiment early on has been largely positive and excited.** On Aptos-focused forums and Twitter (X), many users have lauded Decibel as potentially the "killer app" that Aptos needed – a showcase of what Aptos's tech can do ¹³³. This enthusiasm is evident in the huge response to testnet: there was a big surge of users from Aptos and beyond, sharing referral links and strategies to maximize their testnet points ¹³⁴ ¹³⁵. The project amassed a waitlist and active Telegram/Discord groups where testers discussed feedback. Notably, the team encouraged this by creating a **feedback forum for testnet users** and actively engaging with bug reports and suggestions ¹³⁶. Insiders note that this openness – running a public testnet and inviting critique – is somewhat different from how some past exchanges launched (e.g., in secret or just dropping a product). Decibel's approach has been more transparent, which has helped build early trust ¹²³. **Reputation and leadership:** Unlike What.Exchange, Decibel doesn't have a single charismatic founder visible to the community; it's more of a corporate-backed project. The "face" of Decibel is often Aptos Labs itself (e.g., Aptos executives tweeting congratulations on milestones) or the newly formed Decibel Foundation. This means reputation-wise, Decibel draws on Aptos's credibility. Aptos Labs co-founder Avery Ching endorsing it, and presentations at conferences like Chainlink's SmartCon by team members, signal that **top industry figures are involved** ¹⁵ ¹⁰². However, Aptos's own history has a mixed reputation among some crypto circles. For instance, Aptos's token launch in 2022 had controversies (some felt the airdrop and early distribution were uneven or that usage was "artificially inflated" by incentives) ¹³⁷. Skeptics in the broader DeFi community initially dismissed Aptos as a heavily VC-backed chain without

organic activity. Decibel is seen as a chance to prove the naysayers wrong by delivering real utility and attracting genuine traders to Aptos. So far, the positive buzz around Decibel has started to shift perceptions of Aptos – if Decibel succeeds, it could validate Aptos as a serious DeFi player. **Community risks:** The fervor around testnet also comes with the usual mercenary behaviors. The team is aware that many testnet users were there for the potential airdrop ⁷⁶ ⁷⁷. If those users don't stick around post-airdrop, Decibel will need to capture a more loyal user base with the quality of its product. The team's communication has been careful to not over-promise on the token, which is wise. Additionally, the **distribution of the token will be a make-or-break moment for community trust** – any hint of insider favoritism could spark backlash in the community, especially given the earlier Aptos controversies ⁷⁹. On the other hand, a generous distribution to users and clear decentralization steps will likely cement community goodwill and bring many neutral observers on board. **Current engagement:** Decibel's testnet leaderboard created a cadre of passionate early adopters (some even formed informal groups to share high-volume trading tactics on testnet). The developers occasionally drop hints or easter eggs for the community, and their responsiveness on technical channels has been noted. There's also cross-ecosystem interest: for example, some Solana and Ethereum power users have jumped in to test Decibel, intrigued by its premise, indicating potential to draw users beyond just Aptos loyalists ¹³⁸. As of now, the broader DeFi sentiment is that Decibel is one of the more exciting upcoming platforms, but the **onus is on delivery**. The community is optimistic but cognizant that until mainnet proves itself (and until the project truly decentralizes governance), caution is warranted ¹³⁹ ¹⁴⁰. Aptos Labs' heavy involvement is a two-edged sword: it provides resources and confidence that the tech is solid, but it also means Decibel will be under the microscope — any stumble could reflect on Aptos's reputation, and vice versa. Summarily, Decibel has successfully built a buzz and a testing community; its reputation right now is one of a **promising, well-backed “proto-unicorn” project** in DeFi. If it continues engaging openly and meets its roadmap targets, it could foster a strong community that spans Aptos and eventually a DAO of token holders. If it fails to meet expectations or stumbles with transparency (e.g., a poorly handled token launch), the community could sour quickly. In the volatile court of DeFi public opinion, Decibel is starting from a generally positive stance, supported by big names but still needing to prove itself in the wild ¹⁴¹ ¹⁴².

7. Partnerships and Ecosystem Fit

- **What.Exchange:** Rather than build everything in-house, What.Exchange strategically **partners with specialized infrastructure providers** and plugs into a larger liquidity network. The most crucial partnership is with **Orderly Network**, which supplies the core order book and matching engine ²⁰. Orderly was incubated by NEAR and WOO Network and has received investment from notable players, meaning What.Exchange indirectly benefits from the robustness and capital of those backers ¹⁴³ ²⁰. Essentially, Orderly provides a shared liquidity layer that many platforms can use – What.Exchange is one of the front-end interfaces tapping into it. Other DEXes like WOO's own **WOOFi** and Polygon's **QuickSwap (QuickPerps)** also use Orderly's order book, *sharing liquidity across all these venues* ⁴³. This is a powerful ecosystem play: instead of competing on liquidity, these platforms compete on user experience, features, and token incentives while all contributing to a deeper common liquidity pool ⁹³. For What.Exchange, being aligned with Orderly/WOO means it stands on the shoulders of an existing network effect (WOO Network's market makers and user base). Wolf's personal connections reinforce this: he was a seed investor in both WOO and Orderly, highlighting a close relationship ¹⁴⁴ ¹⁴⁵. Another key partner is **LayerZero**, the interoperability protocol that allows What.Exchange to be omnichain ¹⁴⁶. By using LayerZero's messaging, What.Exchange integrates with numerous blockchains without needing separate order books on each. This fits into **LayerZero's vision of omnichain dApps**, and indeed What.Exchange is often cited as an example of an “omnichain

DEX". The reliance on LayerZero also ties it into the **LayerZero ecosystem** – for instance, any chain that LayerZero connects can potentially be added to What.Exchange's supported list relatively easily, keeping the platform at the forefront of cross-chain DeFi. On the UI side, What.Exchange integrates **TradingView** for charting (as noted, a minor partnership but important for user experience) ¹⁴⁷. It also works with **wallet providers** on many chains (MetaMask, Martian, Suiet, etc. depending on chain) to ensure smooth connectivity, though these aren't formal partnerships per se. In terms of broader ecosystem fit, What.Exchange positions itself within the **NEAR/Orderly/WOO orbit and the cross-chain DeFi landscape**. It's complementary to Orderly's vision of a unified liquidity layer – in fact, Orderly Network has explicitly partnered with multiple frontends (QuickSwap, BTSE's Dex, etc.), and What.Exchange is one of the most prominent, especially as it brings a strong community angle ¹⁴⁸ ¹⁴³. This means What.Exchange doesn't exist in isolation; improvements in Orderly (say, performance upgrades or new features like options trading if added) would immediately benefit What.Exchange. Conversely, any issue with Orderly would affect all partners, which incentivizes collaborative security and stability efforts across the ecosystem ¹⁴⁹ ¹⁵⁰. What.Exchange has also begun **community partnerships** – for example, working with crypto influencers and trading communities. By Q4 2025, they were partnering with community figures for promotions and possibly considering integration with educational platforms (the roadmap includes an education portal, which could involve partnerships with content creators or trading schools) ⁶⁸. Because the project is not backed by big venture firms, it's been forging alliances at the grassroots level: e.g., local "degen" communities and yield guilds that can bring volume in exchange for a share of fees via the affiliate program. Technically, another dependency is **NEAR Protocol** (since Orderly's engine runs on NEAR). While not a direct partnership, it's an ecosystem factor: Orderly's roots in NEAR mean What.Exchange benefits from NEAR's performance and suffers if NEAR has issues ¹⁵¹. There's talk that Orderly could expand to other base layers, which could further enlarge the ecosystem What.Exchange participates in. In summary, What.Exchange's ecosystem fit is as a **frontend interface in a larger decentralized trading network**. Its edge comes from how well it can attract and retain users in that network (through tokenomics and UX), rather than exclusive tech. The partnership model allows it to remain a lean operation while leveraging heavy-duty infrastructure built by others.

- **DecibelTrade:** Decibel is deeply embedded in the **Aptos ecosystem** and draws on that network's key partners. First and foremost, **Aptos Labs** is not just a partner but effectively a co-creator. The project was built in tight collaboration with Aptos's core team, and in many ways Decibel is to Aptos what, say, Serum was to Solana – a flagship DeFi protocol showcasing the chain's capabilities. Aptos Labs providing engineering, funding, and public endorsement positions Decibel as an integral piece of Aptos's roadmap ¹² ¹³. There's also the **Decibel Foundation**, which likely will function similarly to how other protocol foundations do – fostering ecosystem growth, handling governance matters, and liaising with regulators or partners. In terms of technical integrations, **Chainlink** is a notable partner: Decibel uses *Chainlink Data Streams*, a specialized oracle solution for high-frequency data on Aptos ¹⁰². Chainlink Labs has been working closely with the Decibel team (Decibel was even featured at Chainlink's SmartCon conference in 2025) ¹⁰². This partnership ensures Decibel has reliable price feeds for fast-moving markets, and it also gives Chainlink a high-profile use case on Aptos. Another partnership is with **Gauntlet Network**, a leader in crypto risk modeling. Gauntlet's involvement (they advise on risk parameters and dynamic adjustments for Decibel's margin and liquidation settings) suggests that Decibel's risk engine will benefit from sophisticated simulations and tuning ⁵¹. Gauntlet typically partners with DeFi protocols to optimize things like lending collateral factors or exchange fee parameters; here, they might, for example, help adjust Decibel's funding rates or DLP pool parameters to maintain solvency and attractive yields ⁵¹. **Liquidity partners:** It's been mentioned that Decibel is courting market makers such as **Jump**

Crypto ⁵². While not confirmed as a formal partnership, Jump's public interest (they've been active in Aptos investments) means they could be a major liquidity provider on Decibel. If Jump or similar firms engage, they'll bring deep liquidity and maybe even co-invest in Decibel's ecosystem (Jump has done so with other exchanges in the past). On the ecosystem fit side, Decibel is positioned as the **hub of trading on Aptos**. It's supposed to be the execution layer for not just its own interface but potentially others: for instance, if a project wanted to build a specialized UI or integrate Decibel's markets into their app, Decibel could serve as the backend (much like how Serum did on Solana). It wouldn't be surprising if down the line, other frontends or wallets integrate Decibel's order flow (e.g., a wallet offering in-app trading might route to Decibel). The Aptos ecosystem is still smaller than multi-chain DeFi, but Decibel could help attract projects: a lending protocol might form to lend assets to traders on Decibel, yield aggregators could build strategies on Decibel LP tokens, etc. In terms of cross-chain positioning: **LayerZero or Wormhole** could become implicit partners if Decibel leverages their bridges for asset onboarding ¹⁰⁹. Aptos has worked with Wormhole historically, so we might see official support or incentives to facilitate bridging into Decibel (like funding a bridge insurance fund or speedy finality on transfers). **Regulatory/Compliance partners**: While not explicitly stated, the Decibel Foundation might partner with legal counsel or compliance services to navigate differing laws, since a foundation-backed project often does this. Also, insurance partners could emerge (for instance, an on-chain insurance protocol on Aptos might offer to insure Decibel deposits). As of now, though, the main ecosystem interplay is Aptos and its aligned entities pouring effort into making Decibel successful. This means Decibel is somewhat the polar opposite of What.Exchange in ecosystem strategy: rather than being chain-agnostic and plugging into many networks, Decibel is *chain-maximalist* for Aptos. It's intended to boost Aptos's value proposition in the Layer-1 wars. If Aptos succeeds in drawing users (perhaps from Solana or Binance-chain perps) with Decibel, it strengthens the whole ecosystem's credibility. One can say Decibel is to Aptos as dYdX was to StarkWare (initially) or as GMX is to Arbitrum – a "killer app" that validates the chain. Partnerships like those with Chainlink and Gauntlet also place Decibel in a broader DeFi context, showing it isn't an isolated effort; it is connected to cross-chain infrastructure and expertise that span beyond Aptos. Given Chainlink's involvement, for example, we might see Decibel eventually integrate Chainlink's **Cross-Chain Interoperability Protocol (CCIP)** if it expands beyond Aptos. But at present, Decibel's ecosystem fit is primarily about being the crown jewel of *Aptos DeFi*, tightly woven into that network's future and success.

8. Regulatory and Operational Risk

- **What.Exchange**: Operating a derivatives exchange in a decentralized manner comes with significant **regulatory grey areas**, and What.Exchange is no exception. The platform conducts its business without KYC and without geo-restricting users (at least as of 2025, there was no explicit mention of blocked regions) ¹⁵² ¹⁵³. This open accessibility aligns with the founder's anti-censorship stance – *anyone* with a crypto wallet can trade. However, it also means the platform squarely sits in a regulatory grey zone, similar to Uniswap or GMX which have no formal license to offer trading but operate as decentralized protocols ¹⁵⁴. For now, this has been viable: What.Exchange is relatively under the radar compared to large CEXs, and DeFi regulation is still nascent. **No regulatory approvals or licenses** are associated with What.Exchange ¹⁵⁴. The team is presumably based in a crypto-friendly jurisdiction or anonymous, which can provide some shield. But as the exchange grows (especially if volumes climb into the billions), it could attract scrutiny from authorities in jurisdictions like the US, EU, or East Asia where derivatives trading is regulated. The **precedent** in DeFi is mixed: some perp exchanges (like dYdX) proactively geoblock U.S. users to mitigate risk ¹⁵⁵, and we've seen the CFTC and SEC take action against certain DeFi projects (though mostly in the lending space so far). What.Exchange might have to consider similar measures if pressure mounts – for example, blocking U.S. IP addresses

or front-end restrictions – even if that conflicts with their ethos. It's noted that the UI may eventually need prudence in blocking certain jurisdictions to avoid being an easy target ¹⁵⁶. From a partner perspective, anyone working with or integrating What.Exchange should be aware of this regulatory risk. **Operational control:** Currently, the What.Exchange platform is run by its core team. They have the ability to upgrade smart contracts (especially on each chain where they deploy, likely via an admin key or multisig) and to manage the front-end site. This centralized control is intended to transition to a DAO once \$WHAT token and governance go live ¹⁵⁷. The plan is to gradually **hand over key decisions to token holders** and implement on-chain governance by late 2026 ¹⁵⁸ ¹⁵⁹. Until that happens, there is some operational centralization: for example, the team could theoretically pause the platform or alter parameters (perhaps by coordinating with Orderly's administrators). However, since Orderly is the underlying, many core functions (matching engine) are out of What.Exchange's direct control – Orderly's operational security (uptime, matching fairness) is a dependency. Orderly itself might have backdoors or admin controls (as a lot of early CLOB DEX systems do), and as a participant, What.Exchange inherits those operational risks. One advantage is that because multiple exchanges rely on Orderly, it's unlikely that any single participant (including What.Exchange) could coerce or misuse the system without others noticing. **Admin keys and upgrades:** The What.Exchange contracts on each chain (for bridging, margin custody, etc.) likely are upgradable by the team's multisig. There's an implicit trust that the team won't abuse this (and that the multisig is secure against hacks). The Viability Report suggests a partner should check on admin processes – e.g. is there a timelock on upgrades? – as part of due diligence ⁹⁰ ¹⁶⁰. No info was made public, but given the team's ethos, they might implement a time-delay or plan to relinquish control when the DAO is established. **Regulatory future:** If DeFi derivatives face a crackdown, What.Exchange might need to adapt. This could mean moving to a fully uncensorable front-end (IPFS or Tor), or focusing on jurisdictions that are safe havens. The **risk for users** is mainly around interface access – the smart contracts will live on regardless, but if the website is taken down or domains seized, non-technical users could be affected (though an API or alternate UI could be used by power users). In terms of compliance risk to users: trading on What.Exchange could be considered illegal in certain countries if derivatives are not allowed, but given it's non-custodial, enforcement is difficult unless one's identity is tied to their wallet. So practically, the bigger risk is to the team or partners rather than individual users. The team's choice to remain pseudonymous (except Wolf to an extent) might be partly to mitigate personal legal risk. **Operational resilience:** Another aspect is what happens in extreme events – e.g., if Orderly Network had an outage or exploit, What.Exchange would likely have to pause across all chains since the orderbook is shared. There is a reliance on Orderly's team to resolve issues, meaning What.Exchange's uptime is not solely in its own hands. That said, Orderly has financial incentives to maintain service for all its integrated exchanges. **Summary:** What.Exchange deliberately operates in a high-risk regulatory environment ("by design," as the Viability report states ¹⁶¹). It is essentially taking the stance of other decentralized protocols: assuming that the smart contract approach provides some legal distance. Users and partners should acknowledge that this comes with uncertainties; future regulatory developments (such as new DeFi laws or enforcement actions) could impact how the platform needs to run. For now, its **compliance profile is typical DeFi:** no KYC, no licenses, use-at-your-own-risk ¹⁶². This is acceptable to its target power users (who often prefer not to KYC), but it does limit institutional participation and could constrain growth if, for instance, major wallet providers or front-end hosts are pressured to drop support (we've seen MetaMask geo-block certain sites under regulatory pressure). In essence, What.Exchange is taking the "code is law" route and betting on favorable outcomes or nimbleness if regulators come knocking.

- **DecibelTrade:** Decibel, despite being fully on-chain, will inevitably confront similar regulatory questions, perhaps even more so because of its high-profile backing. Since Aptos Labs is a U.S.-

based entity (to public knowledge), it must be acutely aware of compliance risk. Officially, Decibel is positioned as decentralized infrastructure (smart contracts on a public chain) which typically aren't regulated per se. However, if **real-world assets (RWAs) or stocks** are offered as synthetic markets, that crosses into territory (securities, commodities) that regulators like the SEC or CFTC watch closely ⁵⁶. For example, offering tokenized U.S. equities to U.S. residents without a license would be provocative. It's likely that Decibel will implement some *geofencing* on their official web interface at least. Aptos's own token launch involved KYC for certain participants and geo-restrictions for U.S. users receiving airdrops, indicating they are not ignoring regulations. We might expect that Decibel's website could block U.S. IPs upon mainnet (similar to how protocols like dYdX or GMX's front-end handle it), even though the contracts themselves are permissionless. **Legal structure:** The creation of the Decibel Foundation suggests an attempt to create a legal wrapper that could interface with regulators if needed. Perhaps the foundation is based in a jurisdiction like Switzerland or Singapore to manage governance in a compliant way. The foundation could also pursue any necessary approvals in certain markets (though obtaining a derivatives trading license is unlikely given the ethos). **Admin controls and decentralization:** In early mainnet, the fact that the team can intervene (pause markets, etc.) ¹¹⁷ means there is an identifiable control point that regulators could pressure. If a government body insisted, the foundation could theoretically halt trading or refuse to support certain assets. This is a double-edged sword: on one hand regulators prefer there be someone to hold accountable; on the other, it undermines the "fully decentralized" argument. The plan to migrate to DAO governance and on-chain control of parameters over time will, if realized, reduce central points of failure (and also make it harder for regulators to enforce rules). But until then, Aptos Labs and the foundation do carry some risk. **Regulatory exposure due to prominence:** Because Decibel is aiming to bring large volumes on-chain, it could draw attention if successful. A scenario to consider: if U.S. retail traders start using VPNs to trade stocks or high-leverage crypto on Decibel, U.S. regulators might view Aptos Labs as facilitating an unregistered exchange. This is speculative, but not unprecedented (recall the SEC action against the founder of EtherDelta in 2018 for running an unregistered exchange). Aptos Labs will likely be careful to distance itself operationally once launched (hence the separate foundation). **Compliance measures:** We haven't heard of any KYC integration (and that would defeat the purpose of being decentralized), so none is expected. However, Decibel could implement subtle compliance measures like blacklisting sanctioned addresses (some DeFi projects do this at the UI level). Given the space's ethos, they will try to avoid it unless absolutely necessary. **Operational resilience:** On the operational side, Decibel being on a single chain (Aptos) means it is somewhat at the mercy of Aptos's stability. If the Aptos network goes down or has an upgrade issue, Decibel goes down with it – there's no multi-chain distribution to fall back on. Aptos so far has had reasonable uptime, but it's not as battle-tested as Ethereum. Additionally, because Aptos is a newer chain, running a full node (especially one that can handle Decibel's throughput) might be non-trivial; if the number of node operators is low, that's both a decentralization and operational risk (could a few nodes collude, could an Aptos update introduce a bug affecting Decibel?). **Censorship-resistance:** The Decibel contracts are on Aptos, which has a proof-of-stake validator set. In extreme cases, governments could attempt to censor transactions on validators under their jurisdiction (though this is quite hypothetical and would require broad measures). More tangibly, the Decibel front-end could be taken down or compelled to block users. But because it's all on-chain, technically a user could interact via the Aptos CLI or a custom interface if needed. We should note, **Aptos's early history** had some decentralization criticism (a lot of tokens in the hands of insiders, etc.), so one could argue the chain isn't as censorship-resistant as Ethereum. This is an operational risk if, say, a large portion of validators decided to comply with a censorship request. At this point it's unlikely, but it's part of the trust model. **Regulatory outlook:** The regulatory climate in 2026 for DeFi perps exchanges is still uncertain. If anything, pressure is increasing (the CFTC suing Ooki DAO, etc.). Decibel's best defense will be to

decentralize fast and emphasize that it's just open-source code on a blockchain. Aptos Labs will likely keep an arm's length post-launch (no trading on behalf of U.S. persons, etc.). They might also argue that because trades settle in crypto (not fiat) and it's non-custodial, it falls outside certain definitions (though this is debatable in law). For users, the platform will likely put up the usual disclaimers ("not available in U.S. or prohibited jurisdictions" on the website). In practice, enforcement against individual users is rare – the bigger risk is a regulator trying to sanction the protocol or developers. That could manifest as difficulty listing the token on centralized exchanges, or cloud providers refusing service to the front-end, etc. Summing up, **Decibel faces the typical DeFi regulatory risks with an extra spotlight** due to its high ambitions and backing. Its strategy will be to decentralize governance (to make it more like a protocol than a company product) and to possibly geo-fence the official interface. For operational risk, the main points are Aptos chain dependence and interim admin control. As the project matures, if it successfully transitions to community governance and if Aptos continues to scale reliably, these risks diminish. But in the early phase, one can consider Decibel a bit more centralized (and thus more exposed) than a fully launched DAO-based DEX, albeit with a roadmap to change that ¹⁶³.

9. Early Adoption and Growth Metrics

- **What.Exchange:** The platform saw **substantial early traction** in mid-2025 thanks to its incentive programs and product readiness. During the initial "point farming" phase (before any token launch), traders flocked to earn future airdrop eligibility. This translated into real trading volumes: within the first three weeks of going live, What.Exchange grew from roughly **\$10 million to \$25 million in weekly trading volume** ⁶ ¹⁶⁴. Those volumes, while modest compared to major exchanges, indicated that a few dozen active traders were heavily using the platform out of the gate ¹⁶⁵. The presence of leverage (up to 50x) likely boosted volumes as well. Over the next months, the team's rapid expansion of features and supported chains continued to drive growth. By Q4 2025, What.Exchange had deployed on **15+ blockchains** (via LayerZero) and rolled out a full **affiliate program** to reward user referrals ²² ⁶⁸. This affiliate program encouraged community influencers and trading groups to onboard their members, contributing to user acquisition. One metric highlighting user confidence is the **net capital flow**: by late 2025, the platform was experiencing net inflows of capital (traders adding more funds than they withdrew) on Orderly Network ¹³². This is a strong sign of **user retention** – it suggests that users who came to farm the airdrop or try the platform actually kept trading and left funds on the exchange (in contrast to mercenaries who might deposit, farm, then pull liquidity). The team even publicized that quarter that What.Exchange had positive net deposits, framing it as validation of trust ¹³². In terms of user numbers, the platform hasn't released official counts of active wallets or trades, but one can infer from volume and social engagement that it gained a few hundred active daily traders in its early months – many being high-volume "power users" (the kind who can generate millions in weekly volume). The **trading competitions and leaderboards** further spurred volume; for example, users competed to rank as top traders by volume or PnL, which not only drives volume but also serves as proof of real activity (the leaderboard is public, showcasing that volume wasn't just wash trading) ⁶⁹. The breadth of **markets listed** (including niche pairs like HyperLiquid's HYPE token perp, meme coins, etc.) likely attracted traders looking for venues to short or hedge those assets when they couldn't elsewhere ¹⁶⁶ ⁴². This strategy of listing many assets paid off in capturing bursts of volume when certain tokens were trending. On the **liquidity** side, order book depth for major assets on What.Exchange (via Orderly) has been reported to be competitive, with tight spreads, because it's the same liquidity pool fueling WOO Network's DEX. There aren't public detailed metrics, but anecdotal evidence from traders suggests slippage on big trades for BTC/ETH perps was low, while on smaller altcoins it could be higher until liquidity grew. **User growth** was also fueled by community content – early users wrote threads and guides about What.Exchange, and Wolf's

own social media hyped the platform's growth milestones (like hitting X volume or X users). This organic marketing brought in more "degens" eager to not miss the next potential big airdrop. As of the end of 2025, What.Exchange's cumulative trading volume likely reached into the hundreds of millions of dollars (extrapolating weekly figures), and the stage was set for a possible **explosive growth if a bull market returned**. In fact, the team believes they are well-positioned to capture a significant slice of perp volume if market conditions improve and more retail traders return ¹⁶⁷. Another interesting metric: the diversity of chains used. Because of omnichain support, What.Exchange saw usage across multiple networks – by late 2025, popular entry points included Arbitrum, BSC, and Polygon, aside from NEAR. This indicates the platform managed to attract users from various communities (Ethereum L2 traders, BSC traders, etc.), not just one silo. That's a positive for long-term growth, as it has footholds in many ecosystems. **User retention** seems solid; the point farming means many will stick at least until the airdrop. The question will be after \$WHAT launches, will volume sustain? The heavy buyback mechanism suggests volume needs to continue growing to drive token value. The affiliate program and continuous listing of new markets are strategies to ensure ongoing engagement. So far, those have shown success – affiliates have a vested interest in keeping volume up, and new listings keep existing users trading. In summary, What.Exchange's early growth can be characterized as **fast out of the gate**, leveraging incentives to achieve meaningful volume and a base of active users, and then maintaining momentum through constant expansion of features and markets. It hasn't plateaued early like some failed exchanges; instead it showed an upward trend in 2025. The upcoming token launch is anticipated to further boost usage (as users trade to accumulate tokens or stake them). If external conditions (crypto market volume) rise, What.Exchange is in a good position to ride that wave given its groundwork.

- **DecibelTrade:** Since Decibel has not launched on mainnet yet, its early adoption metrics come from its **Devnet and Testnet performance**. The **invite-only Devnet** (Aug 2025) was small scale – a curated set of traders and insiders got a first look. The feedback from that phase led into a public Testnet around Nov 2025 which really stress-tested demand. On testnet, Decibel saw a **surge of user sign-ups and activity**. Thousands of users (exact numbers aren't published, but the term "surge" and waitlist sign-ups indicate high interest) from the Aptos community and beyond were eager to try the platform and secure a spot in any future token distribution ¹³⁴ ¹³⁵. The team implemented a **referral system** on testnet, which went viral on Crypto Twitter – users were sharing referral codes to get their friends on board, which is reminiscent of how some CEXs grew in the past (it's somewhat novel to see it in a testnet scenario) ¹³⁵ ¹⁶⁸. The result was a network effect: more users begot more users, at least in the short term. Decibel also introduced a **leaderboard competition** on testnet: traders who achieved top volumes or PnL could earn "Prestige" status (implying potential higher airdrop or early mainnet access) ¹⁶⁹ ¹⁷⁰. This gamification led certain power-users to execute enormous numbers of test trades (with fake money) to climb the ranks ¹⁷⁰. One reported effect was that some participants engaged in unnatural trading strategies – e.g., trading back-and-forth or taking huge risks – because on testnet there's no real loss, only upside in points ¹⁷¹. This means the raw numbers from testnet (like transaction count or volume) are inflated and not indicative of organic trading. The team is aware of this and has noted that one must be cautious interpreting testnet metrics ⁷⁷ ¹⁷². Still, what matters is *engagement* and *interest*, and Decibel clearly captured a lot of that. By testnet's end, Decibel likely had one of the highest levels of testnet participation seen in a DeFi project that year. On the **performance side**, evidence from testnet is encouraging: users consistently reported fast execution and smooth UI updates ⁴⁷. The system handled the testnet load without major incidents – no reports of crashes or critical bugs surfaced publicly ⁵⁷. The team did not release quantitative performance stats (like how many TPS the testnet achieved or how many orders the matching engine processed per block at peak), but qualitatively, the feedback was that it "felt like a centralized exchange" which is exactly what they were aiming for ⁴⁷. **No**

major security issues came up during testnet (no exploits, no massive incorrect liquidations, etc.) ⁵⁷. There was a mention that Decibel referenced the **MegaETH incident** (another project's mishap) as a learning experience, showing they were paying attention to broader market events during their testing ¹⁷³. As for **liquidity during testnet**, it was entirely artificial – the DLP pool was filled with test tokens by the team, and market makers could simulate providing liquidity. So tight spreads in testnet don't automatically translate to mainnet. The real test will be at launch: we will have to see if Jump and others step in to populate the books, and how large the DLP ends up (it might need to be sizable to backstop high leverage). **Capital flows:** Since mainnet isn't live, we don't have deposit/withdrawal data. However, one can gauge interest by proxies: the airdrop farming threads on forums had significant activity, and Airdrops.io listing Decibel as a candidate brought even more eyes ¹⁷⁴. So we can expect a large number of users will be ready to deposit real funds once mainnet opens, if only to qualify for the eventual token. The team itself has funding (Aptos Labs' support) so initial liquidity seeding won't be an issue. In terms of **growth trajectory**, Decibel is poised for a potentially explosive start on mainnet. Many Aptos ecosystem investors and users will likely jump in, and even cross-chain traders might allocate some capital to test the waters. The early metrics to watch will be daily active users and volume – if Decibel can convert even a fraction of testnet users to mainnet and keep them trading (beyond just one-and-done airdrop qualifiers), it could quickly rank among the bigger DEXs by volume. Aptos's throughput should handle at least a moderate success scenario (say a few thousand transactions per second at peak), but if Decibel truly took off to dYdX-level volumes, it will push Aptos hard. The team's iterative release (Devnet → Testnet → gated mainnet → full mainnet) indicates they are carefully scaling up and addressing issues at each stage ¹⁷⁵ ¹⁷⁶. **User retention questions:** As noted, one risk is how many of those testnet farmers stick around if the rewards aren't immediate or lucrative enough ¹⁷². The team's best strategy to retain users is to make the product genuinely outperform alternatives (if traders make money and have a good experience, they'll stay). If Decibel can demonstrate superior speed or liquidity for certain pairs, pro traders will gravitate to it regardless of token rewards. On the flip side, if at launch the performance disappoints or liquidity is thin, a lot of those early users could abandon it quickly, especially once they've secured any initial airdrop. The **growth metrics** that are promising: social media following and community size for Decibel have grown steadily – indicating a pipeline of users for mainnet. There's also been media coverage (articles, etc.) due to the Aptos association, helping visibility. The **trading volume** on mainnet Day 1 will be a closely watched figure; given testnet enthusiasm, it could start strong (possibly hundreds of millions in first weeks, if large players are involved). But that will need to be sustained by genuine trading interest. In conclusion, Decibel's early stage can be summarized as **high interest, high engagement in testnet**, with a lot of "prospect" users lined up. The team converted that interest into a polished testnet performance. The real proof will be in mainnet growth metrics: user count, retention after token launch, and volumes. They've set the stage well – it's now about execution and delivering on the hype to turn those early adopters into long-term users.

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¹⁶⁷ What.Exchange Project Viability Report (December 2025).pdf

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